



## **Is NBIS the next giant in the rapidly expanding AI infrastructure industry?**

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### **Disclaimer**

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# 1) NBIS Situation Overview

# Situation Overview

NBIS stock price has risen ~166% in the past year , and YTD ~81%. This is due to increased AI infrastructure demand, aggressive capital investments, and growing revenue streams.

## Stock Performance

- NBIS stock has increased significantly YTD, outperforming the Nasdaq by a large margin
- RS Rating has entered the 84-95 range, indicating strong momentum and growth and placing NBIS in top 10-20% of stocks
- ~2.1 Beta – NBIS is vulnerable to market swings
- Past month performance, stock price has risen ~8.5%

## Financial Prospects

- Q1 2025 revenue reported at \$55.3M, up ~385% YoY
- CapEX full year 2025 expected ~\$2B, supporting a massive buildout to meet increased demand
- ~\$1.4B in cash and little debt which allows for fast & aggressive growth
- ARR target: ~\$750-\$1B by end-2025; this will allow for sustained growth

## Industry Environment

- AI Infrastructure is an explosive industry with rapid growth and adoption
- Global market is expected to reach ~\$400+ billion by 2030
- Very capital-intensive industry; high costs on hardware, grid power, etc.
- Significant entry barrier; scarce access to GPUs, limited partnership to gain access

## Investment Thesis

- **Investment Thesis: Bullish stance**
- Rapid growth along with large capital investments for increase in capacity
- ARR increasing with \$750M-\$1B target
- Optimistic outlook for industry in near future
- Large barrier of entry makes it harder for potential competitors to build a foundation
- High cash, low debt model allows NBIS to hit the ground running

# Company Profile

## Business Description

Nebius Group (NasdaqGS: NBIS) is a technology holding company that mainly focuses on AI infrastructure and ventures in similar sectors. The business is segmented into...

**Nebius:** Core AI cloud platform

**Toloka:** Data services

**TripleTen:** EdTech

**Avride:** Autonomy

Formerly known as Yandex N.V., until July 2024 when NBIS divested from their Russian-based operations and shifting their focus toward Western and global markets.

**Founded** in 1989 (as Yandex N.V.)

**IPO** in 2011 as YNDX (now NBIS) on the Nasdaq

**Headquartered** in Amsterdam, Netherlands

**~1,400** employees on staff globally

NBIS also has R&D hubs located in Europe, NA, and Israel.

## Financial Overview (\$ in millions, except per share data)

|                                                |             |
|------------------------------------------------|-------------|
| Current Price                                  | \$51.97     |
| 52-Week Range                                  | 14.11-55.75 |
| % off 52-week high                             | (6.8%)      |
| Shares Outstanding (in millions)               | 202.4       |
| Fully Diluted Shares Outstanding (in millions) | 239.6       |

### Enterprise Value

|                        |                   |
|------------------------|-------------------|
| <b>Market Cap</b>      | <b>\$12,436.9</b> |
| Total Debt             | 201.6             |
| Minority Interest      | 0.0               |
| Cash & S.T. Investment | (1,447.0)         |

|                         |                   |
|-------------------------|-------------------|
| <b>Enterprise Value</b> | <b>\$11,191.5</b> |
|-------------------------|-------------------|

| Capital Structure           | Value             | %             |
|-----------------------------|-------------------|---------------|
| Debt                        | 201.6             | 1.6%          |
| Equity                      | 12,436.9          | 98.4%         |
| <b>Total Capitalization</b> | <b>\$12,638.5</b> | <b>100.0%</b> |

## Financial Summary (in millions)

|                           | 2021A            | 2022A            | 2023A            | 2024A            | 2025E            |
|---------------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Revenue</b>            | <b>\$4,748.6</b> | <b>\$13.5</b>    | <b>\$20.9</b>    | <b>\$117.5</b>   | <b>\$528.8</b>   |
| YoY Growth                | -                | (99.7%)          | 54.8%            | 462.2%           | 350.0%           |
| <b>Adj. EBIT</b>          | <b>(\$177.0)</b> | <b>(\$158.0)</b> | <b>(\$323.5)</b> | <b>(\$443.5)</b> | <b>(\$435.7)</b> |
| YoY Growth                | (3.7%)           | (1170.4%)        | (1547.8%)        | (377.4%)         | (82.4%)          |
| <b>Adj. EBITDA</b>        | <b>\$345.4</b>   | <b>(\$142.9)</b> | <b>(\$264.4)</b> | <b>(\$306.8)</b> | <b>\$10.0</b>    |
| YoY Growth                | 7.3%             | (1058.5%)        | (1265.1%)        | (261.1%)         | 1.9%             |
| <b>Net Income</b>         | <b>(\$195.6)</b> | <b>(\$180.0)</b> | <b>(\$336.6)</b> | <b>(\$396.9)</b> | <b>(\$411.4)</b> |
| YoY Growth                | (4.1%)           | (1333.3%)        | (1610.5%)        | (337.8%)         | (77.8%)          |
| <b>Fully Reported EPS</b> | <b>(\$0.55)</b>  | <b>(\$0.49)</b>  | <b>(\$0.91)</b>  | <b>(\$1.41)</b>  | <b>(\$1.46)</b>  |
| YoY Growth                | -                | (11.1%)          | 85.6%            | 55.6%            | 3.7%             |

# Product Overview



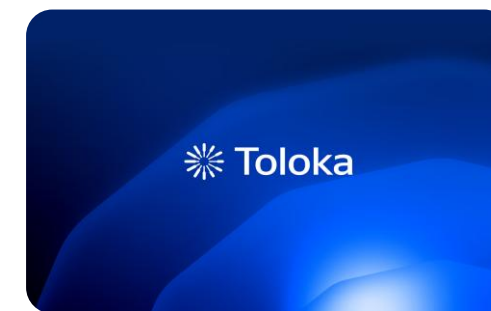
**Nebius AI Cloud** is a platform offering scalable access to NVIDIA GPU clusters. This enables organizations to train and deploy large language models, run AI apps, and manage complex data tasks. Additionally, Nebius provides data privacy for global clients.



**TripleTen** is an education-technology platform that offers online boot-camp style learning in areas such as machine learning, software development, and data sciences. It allows individuals to enter the tech field while also aiding companies who want to train their workforce.

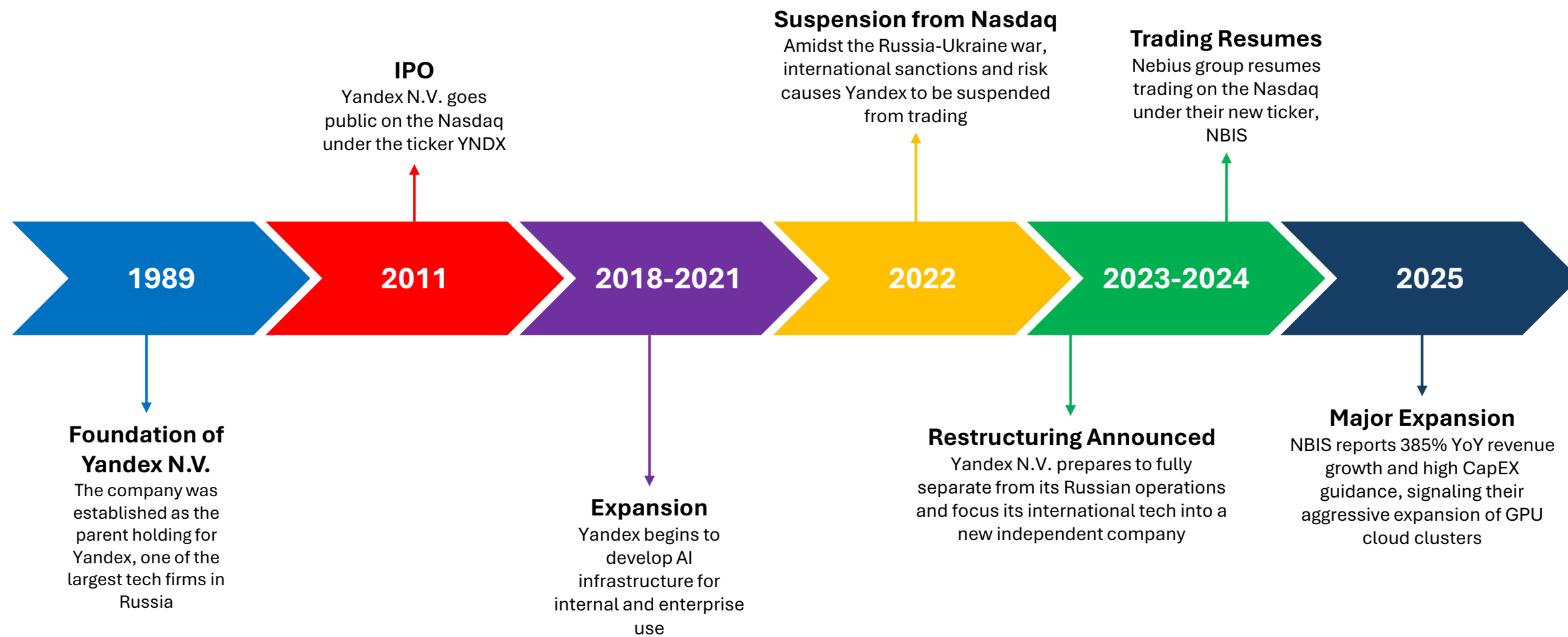


**Avride** is focused on developing AI software for autonomous driving. While they don't focus on the self-driving car itself, they instead create the tech that powers the systems within these cars such as decision making, perception, and simulation tools that help the car stay safe and efficient.



**Toloka** provides high-quality data used in the training of AI systems. Toloka is generally used by companies that need large amounts of labeled data to improve the efficiency and performance of their models. The labeled data assists in image recognition, speech processing, and even language understanding.

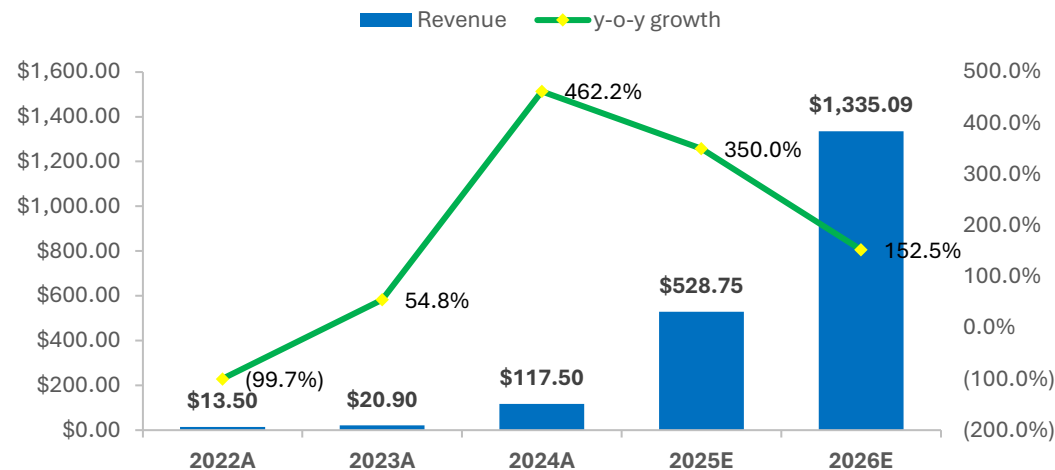
# History of Nebius Group



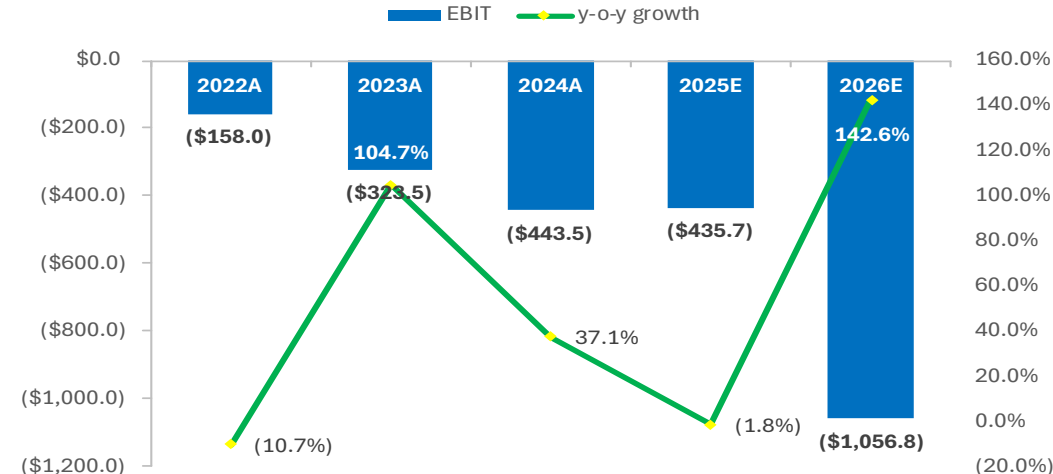
# Financial Performance

NBIS reported Q1 2025 revenue of \$55.3 million → 385% YoY increase. Adjusted EBITDA losses are narrowing as well → Q1 2025 (\$62.6M) vs. Q1 2024 (\$70.9M)

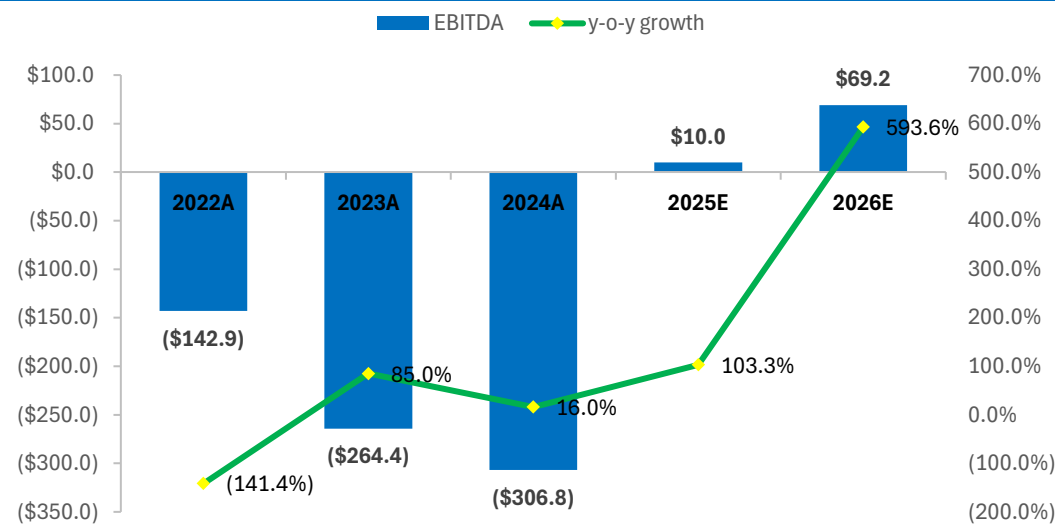
## Revenue (\$ in millions)



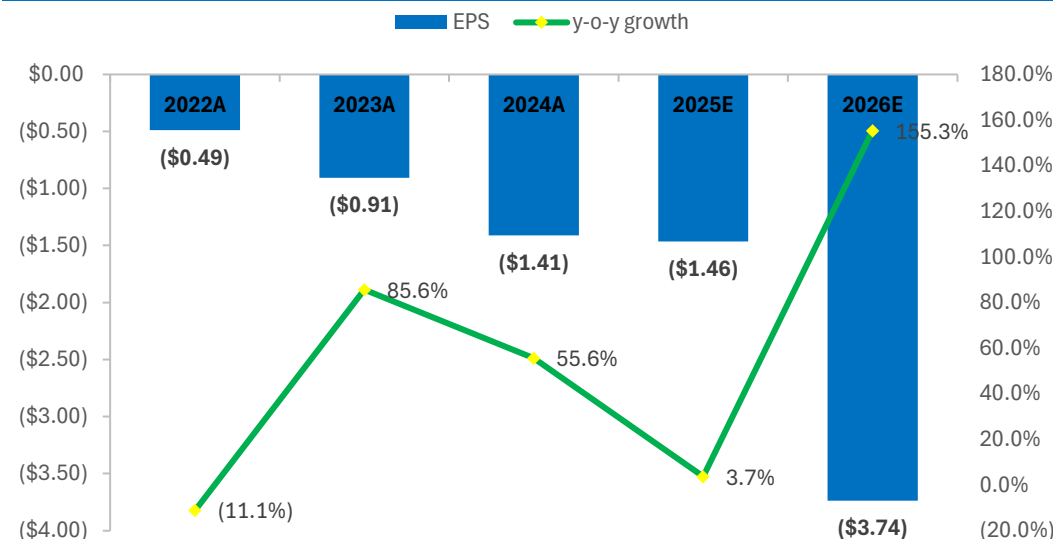
## EBIT (\$ in millions)



## EBITDA (\$ in millions)



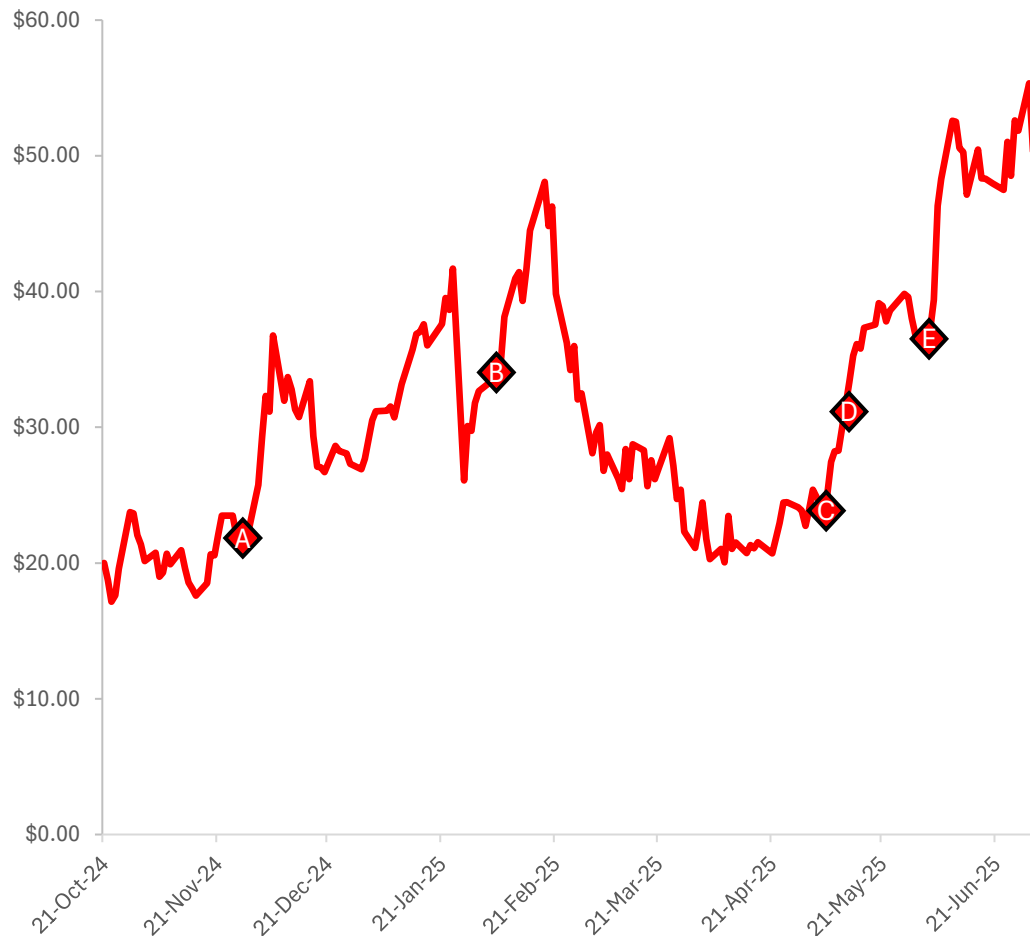
## Fully Diluted EPS



# Annotated Stock Chart

NBIS reported Q1 2025 revenue of \$55.3 million → 385% YoY increase. Adjusted EBITDA losses are narrowing as well → Q1 2025 (\$62.6M) vs. Q1 2024 (\$70.9M)

## Stock Chart



## Press Releases

- A. December 2<sup>nd</sup>, 2024** → Nebius announces strategic equity financing of \$700M to accelerate the rollout of NBIS's full-stack AI infrastructure
- B. February 20<sup>th</sup>, 2025** → NBIS announces Q4 2024 and full year earnings. Q4 2024 revenue reported at \$37.9M, a 466% YoY increase. For the full year, revenue increased 462% to \$117.5M. Leadership signals strong and optimistic momentum.
- C. May 7<sup>th</sup>, 2025** → Bezos Expeditions welcomed as lead investor in Toloka, a segment of NBIS. This enables the rapid scaling of Toloka, allowing NBIS to capitalize on the TAM for AI data. Additionally increases investor confidence (Bezos is an established figure)
- D. May 20<sup>th</sup>, 2025** → Q1 2025 earnings are announced – revenue is reported at \$55.3M indicating a 385% YoY increase. Adjusted EBITDA losses are narrowed to \$62.6M.
- E. June 2<sup>nd</sup>, 2025** → Nebius Grupo announces \$1 billion in convertible notes which will allow for rapid expansion of their AI infrastructure. This is added on top of their large amounts of cash in holdings.

# Industry Overview

## Industry Overview & Trends

**Outlook:** NBIS is poised for rapid growth in the coming years. With newly raised equity and acquired debt, NBIS is equipped for the capital-intensive AI industry. They plan to put forth significant capital expenditure early on to acquire newly developed GPUs and improve overall software/hardware performance.

**Growing Industry:** Currently, the global AI infrastructure market is valued at around \$46.15 billion in 2024, growing at a CAGR of 25-30%. This indicates the TAM is rapidly increasing across the globe, in turn giving NBIS more potential clientele.

**High Barrier:** Due to the steep costs of GPUs and other computer hardware, it takes significant amount of capital expenditures to build a foundation. For reference, NBIS expects to spend \$2B in 2025 to expand their infrastructure. This makes it difficult for new companies to enter the playing field.

**Early Stages:** The AI market is still in its early developmental stage – this leaves ample room for growth and innovation.

## AI Infrastructure Market

### 2024 US AI Market Size

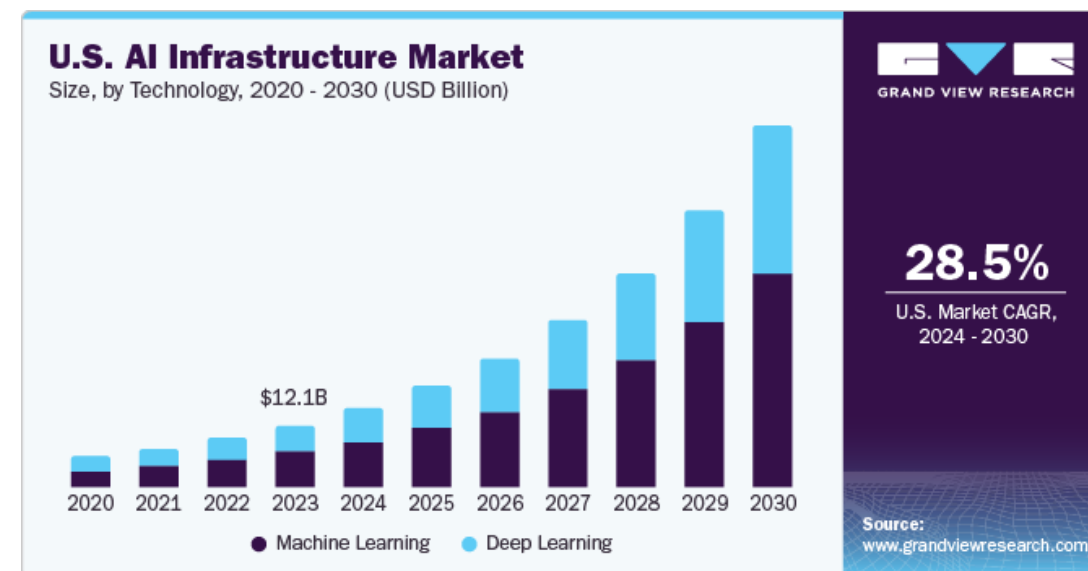
~\$82.3 billion

### 2024 Global AI Market

~\$279.2 billion

### 2024 Global AI Infrastructure Market

~\$46 billion



# NBIS Competition

NBIS operates in the AI industry where competition is currently growing rapidly as demand continues to accelerate. NBIS mainly competes with specialized AI infrastructure providers and major cloud hyperscalers.

## NBIS current/potential competitors include...

- 1) Specialist AI infrastructure providers
- 2) AI-Centric cloud service developers
- 3) Cloud-computing providers

Specific competitors mentioned include: CoreWeave, Crusoe, and Lambda Labs

## Competitive advantages include...

- Full-stack approach with control over the whole AI infrastructure chain
- Longstanding partnerships with critical AI hardware providers
- Flexible access to affordable capital
- Comprehensive suite of AI services
- Leading team of AI and cloud engineers



CoreWeave



Google Cloud

ORACLE®

CLOUD

# Risk Factors to Growth

There are a variety of factors and that could potentially affect the total addressable market and rate of growth as time goes on. Some of these factors include...

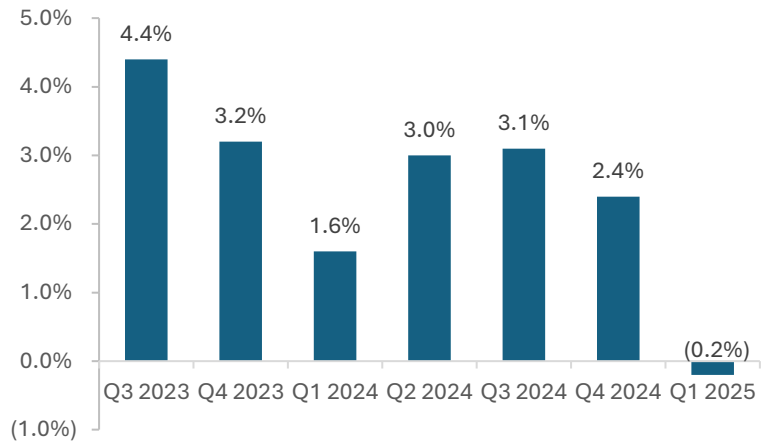
- 1) *Early stage of development operating in a rapidly changing market → may not be successful in building these businesses to the scale originally hoped for*
- 2) *NBIS is capital-intensive and not profitable → ability to operate and grow depends a lot on the ability to raise additional equity and debt financing*
- 3) *There is significant and evolving competition which could affect results of operations*
- 4) *Pricing pressures as the industry evolves*
- 5) *Inability to attract and retain new customers*
- 6) *Inability to build out and manage team*
- 7) *Geopolitical and macroeconomic developments*
- 8) *Law and regulations*



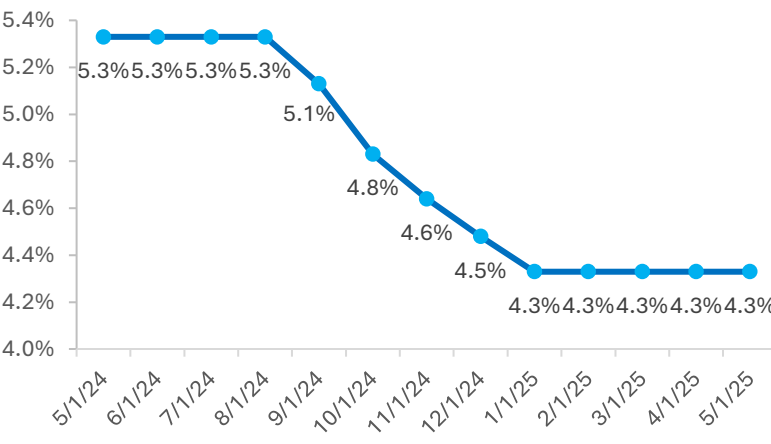
# Economic Indicators

The major indices are aggressively positive nearing Q3 of 2025. GDP growth was negative for Q1, but there remains an optimistic outlook heading into the second half of the year.

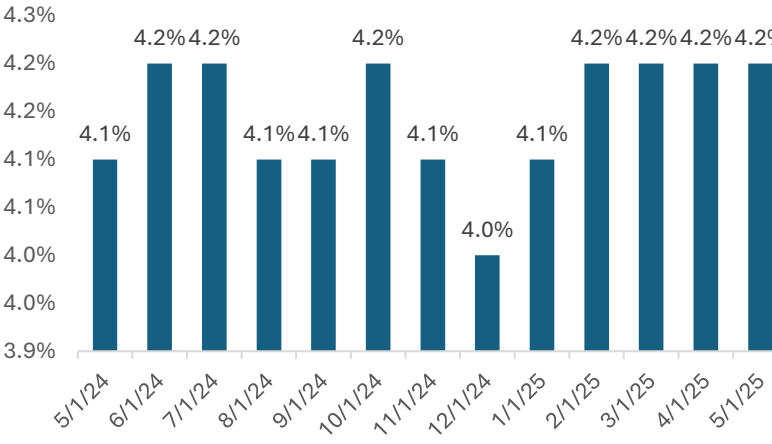
US Quarterly GDP Growth



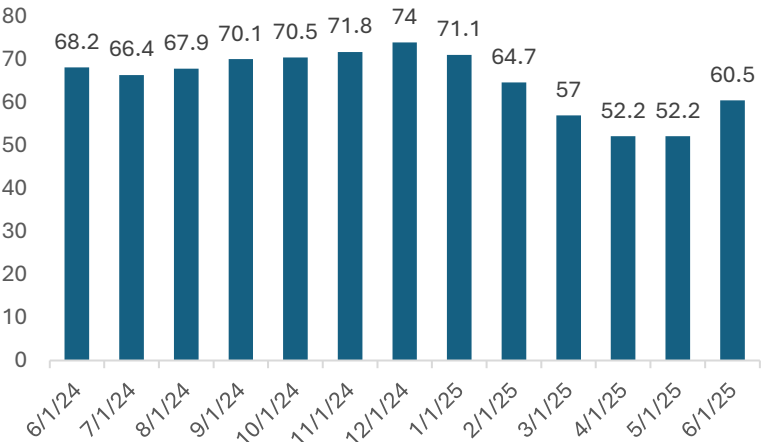
Federal Funds Rate



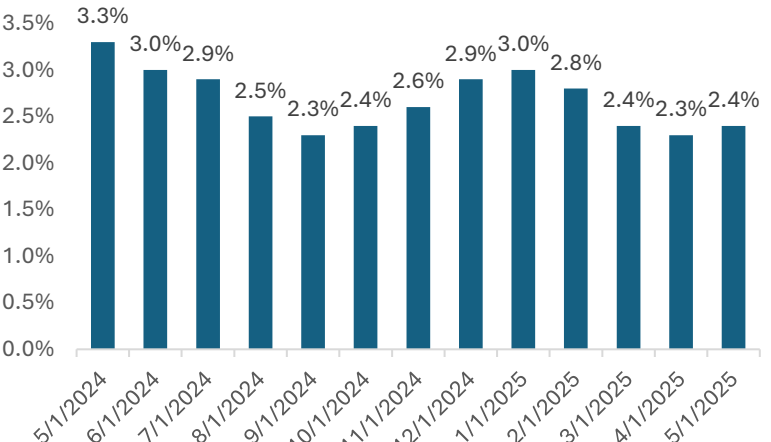
U.S. Unemployment Rate



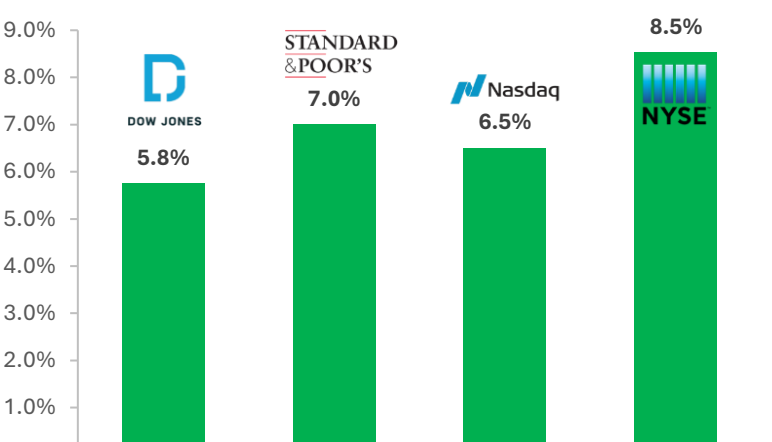
Consumer Sentiment



U.S. Inflation Rate (CPI) YoY



U.S. Stock Market Indices YTD



# Most Recent Quarter Highlights/Expectations

## NBIS First Quarter 2025 Results

### Letter to Shareholders

“As we have minimal debt, we will be opportunistic in tapping capital markets for more traditional types of financing, while seeking to minimize dilution to our shareholders and to be prudent with respect to any future debt load. Given our mid-term growth prospects, fueled by our lower cost-of-capital funding opportunities, and coupled with our relatively stable cost structure, we see a clear path to building a high-growth business with a strong margin profile that can generate solid, sustainable free cash flows. The opportunity ahead of us is immense, and we have the technology, talent and funding flexibility to successfully capture it.”

~ CEO, Arkady Volozh

### First Quarter 2025 Highlights:

- Nebius introduced 50 new software capabilities
- Revenue grew 385% YoY
- Adj. EBITDA losses narrowed by 12% YoY

### Full Year 2025 Guidance:

- \$500-\$700 million in group revenue
- CapEX ~\$2B
- Reach positive adj. EBITDA 2H 2025
- Core AI ARR \$750-\$1 billion

#### Strong Q1 Financial Performance

Q1 Revenue

**\$55.3M**

+385% YoY

ARR<sup>1,2</sup>

**\$249M**

+684% YoY

Cash

**\$1.4bn**

At end of Q1'25

#### Q1 Highlights

New data center capacity

Iceland

Kansas City, USA

New Jersey, USA

Partnerships



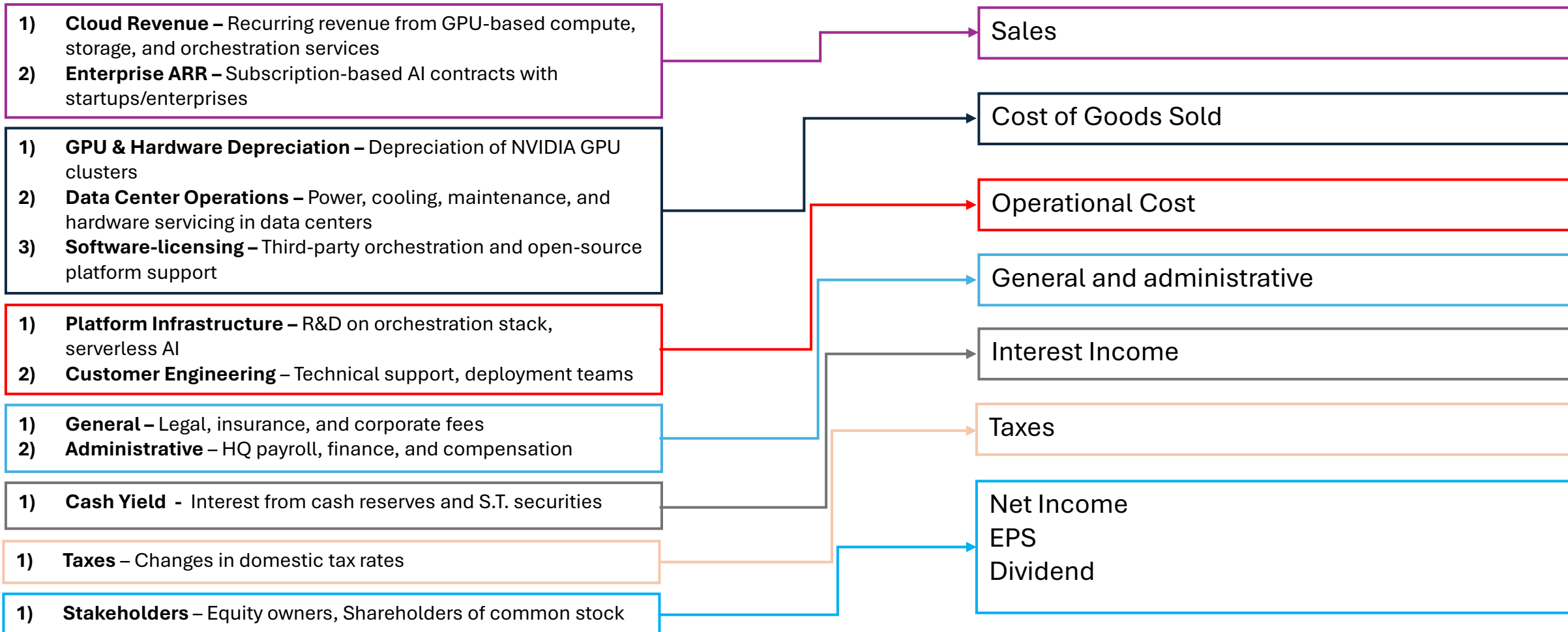
SemiAnalysis Gold Tier



- Strong engineering capability
- Same tier as Azure, and ahead of other hyperscalers

# CEO Level Operational Understanding/Strategy

## CEO operations perspective, executing daily



## 2) Financial Modeling

# Income Statement – RM Case

| Income Statement<br>(\$ in millions, except per share data) | Twelve Months Ending December 31 |                    |                    |                    |                    |                    |                    |                    |                    |                    |
|-------------------------------------------------------------|----------------------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
|                                                             | 2025E                            | 2026E              | 2027E              | 2028E              | 2029E              | 2030E              | 2031E              | 2032E              | 2033E              | 2034E              |
| <b>Revenues</b>                                             | \$528.8                          | \$4,404.5          | \$8,809.0          | \$13,213.5         | \$17,838.2         | \$24,081.5         | \$32,510.1         | \$43,888.6         | \$52,666.3         | \$60,566.3         |
| Cost of Revenues                                            | (259.1)                          | (2,136.2)          | (4,140.2)          | (6,012.1)          | (8,027.2)          | (10,716.3)         | (14,304.4)         | (18,872.1)         | (22,119.9)         | (24,832.2)         |
| <b>Gross Profit</b>                                         | <b>\$269.7</b>                   | <b>\$2,268.3</b>   | <b>\$4,668.8</b>   | <b>\$7,201.3</b>   | <b>\$9,811.0</b>   | <b>\$13,365.3</b>  | <b>\$18,205.6</b>  | <b>\$25,016.5</b>  | <b>\$30,546.5</b>  | <b>\$35,734.1</b>  |
| Product Development                                         | (132.2)                          | (1,079.1)          | (2,114.2)          | (3,105.2)          | (4,102.8)          | (5,538.8)          | (7,314.8)          | (9,655.5)          | (11,323.3)         | (12,718.9)         |
| Sales, General & Administrative                             | (190.4)                          | (1,563.6)          | (3,083.1)          | (4,558.6)          | (6,065.0)          | (8,067.3)          | (10,728.3)         | (14,483.2)         | (17,379.9)         | (19,986.9)         |
| Depreciation & Amortization                                 | (105.8)                          | (646.6)            | (1,217.1)          | (1,804.4)          | (1,962.3)          | (2,509.3)          | (3,390.6)          | (4,043.3)          | (4,652.1)          | (5,281.3)          |
| <b>Operating Income (EBIT)</b>                              | <b>(\$158.7)</b>                 | <b>(\$1,021.0)</b> | <b>(\$1,745.7)</b> | <b>(\$2,266.9)</b> | <b>(\$2,319.0)</b> | <b>(\$2,750.1)</b> | <b>(\$3,228.1)</b> | <b>(\$3,165.5)</b> | <b>(\$2,808.7)</b> | <b>(\$2,253.0)</b> |
| Interest Income                                             | 24.0                             | 11.8               | 10.4               | 5.5                | 0.0                | 0.0                | 2.5                | 14.9               | 35.6               | 71.7               |
| Interest Expense                                            | 2.1                              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Income / (loss) from equity method investments              | 0.0                              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Other loss, net                                             | 0.0                              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| <b>Pre-tax Income</b>                                       | <b>(\$132.6)</b>                 | <b>(\$1,009.2)</b> | <b>(\$1,735.2)</b> | <b>(\$2,261.3)</b> | <b>(\$2,319.0)</b> | <b>(\$2,750.1)</b> | <b>(\$3,225.5)</b> | <b>(\$3,150.6)</b> | <b>(\$2,773.1)</b> | <b>(\$2,181.3)</b> |
| Income tax expense                                          | 0.0                              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| <b>Net Income</b>                                           | <b>(\$132.6)</b>                 | <b>(\$1,009.2)</b> | <b>(\$1,735.2)</b> | <b>(\$2,261.3)</b> | <b>(\$2,319.0)</b> | <b>(\$2,750.1)</b> | <b>(\$3,225.5)</b> | <b>(\$3,150.6)</b> | <b>(\$2,773.1)</b> | <b>(\$2,181.3)</b> |
| <b>Earnings Per Share</b>                                   |                                  |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| Basic                                                       | (\$0.47)                         | (\$3.59)           | (\$6.18)           | (\$8.05)           | (\$8.25)           | (\$9.79)           | (\$11.48)          | (\$11.21)          | (\$9.87)           | (\$7.76)           |
| Diluted                                                     | (\$0.47)                         | (\$3.59)           | (\$6.18)           | (\$8.05)           | (\$8.25)           | (\$9.79)           | (\$11.48)          | (\$11.21)          | (\$9.87)           | (\$7.76)           |
| <b>Weighted-average common shares outstanding:</b>          |                                  |                    |                    |                    |                    |                    |                    |                    |                    |                    |
| Basic                                                       | 281.0                            | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              |
| Diluted                                                     | 281.0                            | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              | 281.0              |
| <b>Revenue Growth</b>                                       | <b>350.00%</b>                   | <b>733.00%</b>     | <b>100.00%</b>     | <b>50.00%</b>      | <b>35.00%</b>      | <b>35.00%</b>      | <b>35.00%</b>      | <b>35.00%</b>      | <b>20.00%</b>      | <b>15.00%</b>      |
| <b>EBIT</b>                                                 | <b>(158.7)</b>                   | <b>(1,021.0)</b>   | <b>(1,745.7)</b>   | <b>(2,266.9)</b>   | <b>(2,319.0)</b>   | <b>(2,750.1)</b>   | <b>(3,228.1)</b>   | <b>(3,165.5)</b>   | <b>(2,808.7)</b>   | <b>(2,253.0)</b>   |
| D&A                                                         | 105.8                            | 646.6              | 1,217.1            | 1,804.4            | 1,962.3            | 2,509.3            | 3,390.6            | 4,043.3            | 4,652.1            | 5,281.3            |
| Stock-Based Compensation                                    | 55.7                             | 427.6              | 833.9              | 1,230.9            | 1,576.9            | 2,095.0            | 2,786.4            | 3,663.7            | 4,336.2            | 4,938.3            |
| <b>EBITDA</b>                                               | <b>\$2.8</b>                     | <b>\$53.2</b>      | <b>\$305.3</b>     | <b>\$768.4</b>     | <b>\$1,220.1</b>   | <b>\$1,854.2</b>   | <b>\$2,948.9</b>   | <b>\$4,541.4</b>   | <b>\$6,179.5</b>   | <b>\$7,966.6</b>   |

# Assumptions – RM Case

| Drivers                            | Twelve Months Ending December 31 |         |         |         |         |         |        |        |        |        |
|------------------------------------|----------------------------------|---------|---------|---------|---------|---------|--------|--------|--------|--------|
|                                    | 2025E                            | 2026E   | 2027E   | 2028E   | 2029E   | 2030E   | 2031E  | 2032E  | 2033E  | 2034E  |
| <b>Margins as %</b>                |                                  |         |         |         |         |         |        |        |        |        |
| Gross margin                       | 51.0%                            | 51.5%   | 53.0%   | 54.5%   | 55.0%   | 55.5%   | 56.0%  | 57.0%  | 58.0%  | 59.0%  |
| COGS                               | 49.0%                            | 48.5%   | 47.0%   | 45.5%   | 45.0%   | 44.5%   | 44.0%  | 43.0%  | 42.0%  | 41.0%  |
| Product development                | 25.0%                            | 24.5%   | 24.0%   | 23.5%   | 23.0%   | 23.0%   | 22.5%  | 22.0%  | 21.5%  | 21.0%  |
| Sales, general, and administrative | 36.0%                            | 35.5%   | 35.0%   | 34.5%   | 34.0%   | 33.5%   | 33.0%  | 33.0%  | 33.0%  | 33.0%  |
| D&A                                | 20.0%                            | 14.7%   | 13.8%   | 13.7%   | 11.0%   | 10.4%   | 10.4%  | 9.2%   | 8.8%   | 8.7%   |
| Stock-based compensation           | 13.0%                            | 13.0%   | 13.0%   | 13.0%   | 13.0%   | 13.0%   | 13.0%  | 13.0%  | 13.0%  | 13.0%  |
| Effective tax rate                 | 18.0%                            | 18.0%   | 18.0%   | 18.0%   | 18.0%   | 18.0%   | 18.0%  | 18.0%  | 18.0%  | 18.0%  |
| EBIT                               | (30.0%)                          | (23.2%) | (19.8%) | (17.2%) | (13.0%) | (11.4%) | (9.9%) | (7.2%) | (5.3%) | (3.7%) |
| EBITDA                             | 0.5%                             | 1.2%    | 3.5%    | 5.8%    | 6.8%    | 7.7%    | 9.1%   | 10.3%  | 11.7%  | 13.2%  |
| Profit                             | (25.1%)                          | (22.9%) | (19.7%) | (17.1%) | (13.0%) | (11.4%) | (9.9%) | (7.2%) | (5.3%) | (3.6%) |

# Balance Sheet – RM Case

| Balance Sheet<br>(\$ in millions, except per share data) | Twelve Months Ending December 31 |                  |                  |                  |                  |                   |                    |                   |                   |                   |
|----------------------------------------------------------|----------------------------------|------------------|------------------|------------------|------------------|-------------------|--------------------|-------------------|-------------------|-------------------|
|                                                          | 2025E                            | 2026E            | 2027E            | 2028E            | 2029E            | 2030E             | 2031E              | 2032E             | 2033E             | 2034E             |
| <b>Assets</b>                                            |                                  |                  |                  |                  |                  |                   |                    |                   |                   |                   |
| Cash & cash equivalents                                  | \$737.1                          | \$715.6          | \$485.7          | \$190.5          | \$9.2            | \$98.9            | \$1,003.0          | \$1,328.5         | \$3,190.7         | \$6,014.8         |
| Accounts receivables                                     | 95.2                             | 792.8            | 1,541.6          | 2,246.3          | 3,032.5          | 4,093.9           | 5,526.7            | 7,461.1           | 8,953.3           | 10,296.3          |
| Investments in debt securities                           | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| Prepaid expenses                                         | 105.8                            | 858.9            | 1,673.7          | 2,444.5          | 3,210.9          | 4,334.7           | 5,851.8            | 7,899.9           | 9,479.9           | 10,901.9          |
| Interest receivable                                      | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| VAT reclaimable                                          | 8.1                              | 8.1              | 8.1              | 8.1              | 8.1              | 8.1               | 8.1                | 8.1               | 8.1               | 8.1               |
| Other current assets                                     | 18.0                             | 18.0             | 18.0             | 18.0             | 18.0             | 18.0              | 18.0               | 18.0              | 18.0              | 18.0              |
| Current assets from discontinued operations              | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| <b>Total current assets</b>                              | <b>\$964.1</b>                   | <b>\$2,393.4</b> | <b>\$3,727.0</b> | <b>\$4,907.4</b> | <b>\$6,278.7</b> | <b>\$8,553.6</b>  | <b>\$12,407.7</b>  | <b>\$16,715.6</b> | <b>\$21,650.1</b> | <b>\$27,239.1</b> |
| PP&E                                                     | 2,327.5                          | 2,209.4          | 2,049.4          | 1,830.6          | 1,830.6          | 1,729.4           | 1,264.7            | 1,171.4           | 1,259.3           | 1,429.0           |
| Operating lease right of use assets                      | 45.0                             | 45.0             | 45.0             | 45.0             | 45.0             | 45.0              | 45.0               | 45.0              | 45.0              | 45.0              |
| Intangible assets                                        | 4.9                              | 4.9              | 4.9              | 4.9              | 4.9              | 4.9               | 4.9                | 4.9               | 4.9               | 4.9               |
| Equity method investments                                | 6.4                              | 6.4              | 6.4              | 6.4              | 6.4              | 6.4               | 6.4                | 6.4               | 6.4               | 6.4               |
| Investments in non-marketable equity securities          | 90.7                             | 90.7             | 90.7             | 90.7             | 90.7             | 90.7              | 90.7               | 90.7              | 90.7              | 90.7              |
| Deferred tax assets                                      | 7.8                              | 7.8              | 7.8              | 7.8              | 7.8              | 7.8               | 7.8                | 7.8               | 7.8               | 7.8               |
| Other non-current assets                                 | 13.5                             | 13.5             | 13.5             | 13.5             | 13.5             | 13.5              | 13.5               | 13.5              | 13.5              | 13.5              |
| Non-current assets from discontinued operations          | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| <b>Total assets</b>                                      | <b>\$3,459.9</b>                 | <b>\$4,771.1</b> | <b>\$5,944.7</b> | <b>\$6,906.3</b> | <b>\$8,277.6</b> | <b>\$10,451.2</b> | <b>\$13,840.6</b>  | <b>\$18,055.3</b> | <b>\$23,077.6</b> | <b>\$28,836.3</b> |
| <b>Liabilities and Shareholders' equity</b>              |                                  |                  |                  |                  |                  |                   |                    |                   |                   |                   |
| Accounts payable                                         | 139.3                            | 1,143.1          | 2,205.2          | 3,187.2          | 4,235.3          | 5,627.4           | 7,511.6            | 9,910.2           | 11,615.7          | 13,040.0          |
| Accrued tax liabilities                                  | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| Current operating lease liabilities                      | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| Compensation expenses payable                            | 13.7                             | 13.7             | 13.7             | 13.7             | 13.7             | 13.7              | 13.7               | 13.7              | 13.7              | 13.7              |
| Other current liabilities                                | 5.2                              | 5.2              | 5.2              | 5.2              | 5.2              | 5.2               | 5.2                | 5.2               | 5.2               | 5.2               |
| Debt, current portion                                    | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| Income and non-income taxes payable                      | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| Deferred revenue                                         | 124.4                            | 1,014.3          | 2,028.6          | 3,039.1          | 4,102.8          | 5,538.8           | 7,477.3            | 8,777.7           | 10,533.3          | 12,113.3          |
| Current liabilities from discontinued operations         | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| <b>Total current liabilities</b>                         | <b>\$282.6</b>                   | <b>\$2,176.3</b> | <b>\$4,252.7</b> | <b>\$6,245.2</b> | <b>\$8,357.0</b> | <b>\$11,185.1</b> | <b>\$15,007.8</b>  | <b>\$18,706.9</b> | <b>\$22,167.9</b> | <b>\$25,172.2</b> |
| Non-current lease liabilities                            | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| Other accrued liabilities                                | 0.6                              | 0.6              | 0.6              | 0.6              | 0.6              | 0.6               | 0.6                | 0.6               | 0.6               | 0.6               |
| Non-current liabilities from discontinued operations     | 0.0                              | 0.0              | 0.0              | 0.0              | 0.0              | 0.0               | 0.0                | 0.0               | 0.0               | 0.0               |
| <b>Total liabilities</b>                                 | <b>\$283.2</b>                   | <b>\$2,176.9</b> | <b>\$4,253.3</b> | <b>\$6,245.8</b> | <b>\$8,357.6</b> | <b>\$11,185.7</b> | <b>\$15,008.4</b>  | <b>\$18,707.5</b> | <b>\$22,168.5</b> | <b>\$25,172.8</b> |
| Common stock                                             | 9.2                              | 9.2              | 9.2              | 9.2              | 9.2              | 9.2               | 9.2                | 9.2               | 9.2               | 9.2               |
| Treasury stock                                           | (1,968.1)                        | (1,968.1)        | (1,968.1)        | (1,968.1)        | (1,968.1)        | (1,968.1)         | (1,968.1)          | (1,968.1)         | (1,968.1)         | (1,968.1)         |
| Additional paid in capital                               | 2,072.4                          | 2,500.0          | 3,333.9          | 4,564.7          | 6,141.6          | 8,236.6           | 11,023.0           | 14,686.7          | 19,022.8          | 23,961.2          |
| Accumulated other comprehensive loss                     | (22.1)                           | (22.1)           | (22.1)           | (22.1)           | (22.1)           | (22.1)            | (22.1)             | (22.1)            | (22.1)            | (22.1)            |
| Retained earnings                                        | 3,085.3                          | 2,075.2          | 338.6            | (1,923.2)        | (4,240.7)        | (6,990.0)         | (10,209.8)         | (13,357.9)        | (16,132.7)        | (18,316.6)        |
| <b>Total shareholders' equity</b>                        | <b>\$3,176.7</b>                 | <b>\$2,594.2</b> | <b>\$1,691.5</b> | <b>\$660.5</b>   | <b>(\$80.1)</b>  | <b>(\$734.4)</b>  | <b>(\$1,167.8)</b> | <b>(\$652.2)</b>  | <b>\$909.2</b>    | <b>\$3,663.5</b>  |
| <b>Total liabilities and shareholders' equity</b>        | <b>\$3,459.9</b>                 | <b>\$4,771.1</b> | <b>\$5,944.7</b> | <b>\$6,906.3</b> | <b>\$8,277.6</b> | <b>\$10,451.2</b> | <b>\$13,840.6</b>  | <b>\$18,055.3</b> | <b>\$23,077.6</b> | <b>\$28,836.3</b> |
| <b>Check</b>                                             | <b>Y</b>                         | <b>N</b>         | <b>Y</b>         | <b>Y</b>         | <b>Y</b>         | <b>Y</b>          | <b>Y</b>           | <b>Y</b>          | <b>Y</b>          | <b>Y</b>          |
| <b>Check</b>                                             | <b>\$0.0</b>                     | <b>\$0.0</b>     | <b>\$0.0</b>     | <b>\$0.0</b>     | <b>\$0.0</b>     | <b>\$0.0</b>      | <b>\$0.0</b>       | <b>\$0.0</b>      | <b>\$0.0</b>      | <b>\$0.0</b>      |

# Cash Flow Statement – RM Case

| Cash Flow Statement<br>(\$ in millions, except per share data) | Twelve Months Ending December 31 |                  |                    |                    |                    |                    |                    |                    |                    |                    |
|----------------------------------------------------------------|----------------------------------|------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
|                                                                | 2025E                            | 2026E            | 2027E              | 2028E              | 2029E              | 2030E              | 2031E              | 2032E              | 2033E              | 2034E              |
| <b>Operating Activities</b>                                    |                                  |                  |                    |                    |                    |                    |                    |                    |                    |                    |
| Net Income                                                     | (\$132.7)                        | (\$1,010.1)      | (\$1,736.6)        | (\$2,261.8)        | (\$2,317.5)        | (\$2,749.3)        | (\$3,219.8)        | (\$3,148.0)        | (\$2,774.8)        | (\$2,183.9)        |
| D&A                                                            | 105.8                            | 646.6            | 1,217.1            | 1,804.4            | 1,962.3            | 2,509.3            | 3,390.6            | 4,043.3            | 4,652.1            | 5,281.3            |
| Shareholders compensation                                      | 55.7                             | 427.6            | 833.9              | 1,230.9            | 1,576.9            | 2,095.0            | 2,786.4            | 3,663.7            | 4,336.2            | 4,938.3            |
| <b>Changes in Working Capital</b>                              |                                  |                  |                    |                    |                    |                    |                    |                    |                    |                    |
| Interest Receivable                                            | 21.6                             | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Accrued tax liabilities                                        | (181.9)                          | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Income and non-income taxes payable                            | (5.9)                            | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Accounts payable                                               | \$117.9                          | \$1,003.8        | \$1,062.1          | \$982.0            | \$1,048.2          | \$1,392.1          | \$1,884.2          | \$2,398.6          | \$1,705.5          | \$1,424.3          |
| Deferred revenue                                               | 107.9                            | 889.9            | 1,014.3            | 1,010.5            | 1,063.7            | 1,436.0            | 1,938.6            | 1,300.4            | 1,755.5            | 1,580.0            |
| Accounts receivables                                           | (82.1)                           | (697.6)          | (748.8)            | (704.7)            | (786.2)            | (1,061.4)          | (1,432.9)          | (1,934.3)          | (1,492.2)          | (1,343.0)          |
| Prepaid expenses                                               | (82.9)                           | (753.1)          | (814.8)            | (770.8)            | (766.4)            | (1,123.8)          | (1,517.1)          | (2,048.1)          | (1,580.0)          | (1,422.0)          |
| Net change in working capital                                  | \$60.9                           | \$443.0          | \$512.8            | \$517.0            | \$559.3            | \$642.8            | \$872.8            | (\$283.5)          | \$388.8            | \$239.3            |
| <b>Net cash provided by (used in) operating activities</b>     | <b>(\$76.5)</b>                  | <b>\$507.1</b>   | <b>\$827.1</b>     | <b>\$1,290.5</b>   | <b>\$1,780.9</b>   | <b>\$2,497.8</b>   | <b>\$3,830.0</b>   | <b>\$4,275.4</b>   | <b>\$6,602.2</b>   | <b>\$8,275.0</b>   |
| <b>Investing Activities</b>                                    |                                  |                  |                    |                    |                    |                    |                    |                    |                    |                    |
| Purchases of PP&E (CapEX)                                      | (1,586.3)                        | (528.5)          | (1,057.1)          | (1,585.6)          | (1,962.2)          | (2,408.2)          | (2,925.9)          | (3,950.0)          | (4,740.0)          | (5,451.0)          |
| <b>Net cash provided by (used in) investing activities</b>     | <b>(\$1,586.3)</b>               | <b>(\$528.5)</b> | <b>(\$1,057.1)</b> | <b>(\$1,585.6)</b> | <b>(\$1,962.2)</b> | <b>(\$2,408.2)</b> | <b>(\$2,925.9)</b> | <b>(\$3,950.0)</b> | <b>(\$4,740.0)</b> | <b>(\$5,451.0)</b> |
| <b>Financing Activities</b>                                    |                                  |                  |                    |                    |                    |                    |                    |                    |                    |                    |
| Issuance of common stock                                       | 0.0                              | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Repurchases of common stock                                    | 0.0                              | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Issuances of debt                                              | 0.0                              | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Repayments of debt                                             | (6.1)                            | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| Repayments of lease liabilities                                | (43.6)                           | 0.0              | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                | 0.0                |
| <b>Net cash provided by (used in) investing activities</b>     | <b>(\$49.7)</b>                  | <b>\$0.0</b>     | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       |
| <b>Net change in cash &amp; equivalents</b>                    | <b>(\$1,712.5)</b>               | <b>(\$21.5)</b>  | <b>(\$230.0)</b>   | <b>(\$295.1)</b>   | <b>(\$181.3)</b>   | <b>\$89.7</b>      | <b>\$904.1</b>     | <b>\$325.5</b>     | <b>\$1,862.2</b>   | <b>\$2,824.0</b>   |
| Cash & equivalents beginning                                   | 2,449.6                          | 737.1            | 715.6              | 485.7              | 190.5              | 9.2                | 98.9               | 1,003.0            | 1,328.5            | 3,190.7            |
| <b>Cash &amp; equivalents - end of year</b>                    | <b>\$737.1</b>                   | <b>\$715.6</b>   | <b>\$485.7</b>     | <b>\$190.5</b>     | <b>\$9.2</b>       | <b>\$98.9</b>      | <b>\$1,003.0</b>   | <b>\$1,328.5</b>   | <b>\$3,190.7</b>   | <b>\$6,014.8</b>   |
| <b>FCF</b>                                                     | <b>(\$1,662.8)</b>               | <b>(\$21.5)</b>  | <b>(\$230.0)</b>   | <b>(\$295.1)</b>   | <b>(\$181.3)</b>   | <b>\$89.7</b>      | <b>\$904.1</b>     | <b>\$325.5</b>     | <b>\$1,862.2</b>   | <b>\$2,824.0</b>   |
| <b>Check</b>                                                   | <b>Y</b>                         | <b>Y</b>         | <b>Y</b>           | <b>Y</b>           | <b>Y</b>           | <b>Y</b>           | <b>Y</b>           | <b>Y</b>           | <b>Y</b>           | <b>Y</b>           |
| <b>Check</b>                                                   | <b>\$0.0</b>                     | <b>\$0.0</b>     | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       | <b>\$0.0</b>       |

## 3) Valuation

# Comparable Company Analysis – RM Case

## Multiples Analysis

| EBITDA Multiple Company Valuation<br>(\$in millions, except per share data)     |           | Implied Reference Range |   |        | Implied Reference Range |   |                 |
|---------------------------------------------------------------------------------|-----------|-------------------------|---|--------|-------------------------|---|-----------------|
|                                                                                 | Data      | Low                     | — | High   | Low                     | — | High            |
| LTM EBITDA                                                                      | (\$369.8) | -30.0x                  | - | -37.0x |                         |   |                 |
| <b>Implied Enterprise Value Reference Range</b>                                 |           |                         |   |        | <b>\$11,094</b>         |   | <b>\$13,683</b> |
| (-) Net Debt                                                                    |           |                         |   |        | (201.6)                 |   | (201.6)         |
| <b>Implied Equity Value Reference Range</b>                                     |           |                         |   |        | <b>\$10,892</b>         |   | <b>\$13,481</b> |
| Fully diluted shares (thousands)                                                |           |                         |   |        | 239.3                   |   | 239.3           |
| <b>Implied Share Price</b>                                                      |           |                         |   |        | <b>45.52</b>            |   | <b>56.33</b>    |
| <i>Implied Price Premium (%) to current share price as of most recent close</i> |           |                         |   |        | (12.4%)                 |   | 8.4%            |

| Sales Multiple Company Valuation<br>(\$in thousands, except per share data)     |         | Implied Reference Range |   |       | Implied Reference Range |   |                 |
|---------------------------------------------------------------------------------|---------|-------------------------|---|-------|-------------------------|---|-----------------|
|                                                                                 | Data    | Low                     | — | High  | Low                     | — | High            |
| LTM Sales                                                                       | \$161.4 | 67.0x                   | - | 87.0x |                         |   |                 |
| <b>Implied Enterprise Value Reference Range</b>                                 |         |                         |   |       | <b>\$10,814</b>         |   | <b>\$14,042</b> |
| (-) Net Debt                                                                    |         |                         |   |       | (201.6)                 |   | (201.6)         |
| <b>Implied Equity Value Reference Range</b>                                     |         |                         |   |       | <b>\$10,612</b>         |   | <b>\$13,840</b> |
| Fully diluted shares (thousands)                                                |         |                         |   |       | 239.3                   |   | 239.3           |
| <b>Implied Share Price</b>                                                      |         |                         |   |       | <b>44.35</b>            |   | <b>57.83</b>    |
| <i>Implied Price Premium (%) to current share price as of most recent close</i> |         |                         |   |       | (14.7%)                 |   | 11.3%           |

| Price Earnings Multiple Company Valuation<br>(\$in thousands, except per share data) |         | Implied Reference Range |   |        | Implied Reference Range |   |                 |
|--------------------------------------------------------------------------------------|---------|-------------------------|---|--------|-------------------------|---|-----------------|
|                                                                                      | Data    | Low                     | — | High   | Low                     | — | High            |
| LTM EPS                                                                              | (\$1.7) | -27.0x                  | - | -34.0x |                         |   |                 |
| <b>Implied Enterprise Value Reference Range</b>                                      |         |                         |   |        | <b>\$11,374</b>         |   | <b>\$14,270</b> |
| (-) Net Debt                                                                         |         |                         |   |        | (201.6)                 |   | (201.6)         |
| <b>Implied Equity Value Reference Range</b>                                          |         |                         |   |        | <b>\$11,172</b>         |   | <b>\$14,069</b> |
| Fully diluted shares (thousands)                                                     |         |                         |   |        | 239.3                   |   | 239.3           |
| <b>Implied Share Price</b>                                                           |         |                         |   |        | <b>\$46.69</b>          |   | <b>\$58.79</b>  |
| <i>Implied Price Premium (%) to current share price as of most recent close</i>      |         |                         |   |        | (10.2%)                 |   | 13.1%           |

# Comparable Company Analysis – RM Case

| (\$ in millions, expect stock price)    | Stock price     | Stock price | Market value  | Enterprise    | Enterprise value / LTM |         |        | 2023-2024  |       | LTM Margins |          | Total debt | Levered | PEG   |      |
|-----------------------------------------|-----------------|-------------|---------------|---------------|------------------------|---------|--------|------------|-------|-------------|----------|------------|---------|-------|------|
| Company                                 | As of: 7/6/2025 | YTD         | of equity     | Value         | Sales                  | EBITDA  | PE     | Growth EPS | Gross | EBITDA      | EBIT     | / EBITDA   | Betas   | Ratio |      |
| Amazon.com, Inc. (NasdaqGS: AMZN)       | \$223.30        | 1.8%        | \$2,370,000.0 | \$2,410,000.0 | 3.7x                   | 17.9x   | 36.7x  | 90.7%      | 49.2% | 20.8%       | 12.2%    | 1.3x       | 1.33    | 1.3x  |      |
| Microsoft Corporation (NasdaqGS: MSFT)  | \$495.94        | 17.7%       | \$3,690,000.0 | \$3,670,000.0 | 13.6x                  | 24.2x   | 38.3x  | 21.9%      | 69.1% | 55.6%       | 44.7%    | 0.7x       | 1.03    | 2.1x  |      |
| Alphabet Inc. (NasdaqGS: GOOG)          | \$178.27        | (6.4%)      | \$2,160,000.0 | \$2,090,000.0 | 5.8x                   | 14.0x   | 9.8x   | 38.6%      | 58.6% | 41.7%       | 37.1%    | 0.1x       | 1.33    | 1.3x  |      |
| Alibaba Group Holding Ltd. (NYSE: BABA) | \$114.08        | 35.6%       | \$272,550.0   | \$247,440.0   | 1.8x                   | 8.6x    | 15.3x  | 14.0%      | 40.0% | 20.8%       | 16.6%    | 1.3x       | 0.21    | NM    |      |
| Oracle Corporation (NYSE: ORCL)         | \$210.24        | 26.2%       | \$590,530.0   | \$683,430.0   | 11.9x                  | 28.6x   | 48.4x  | 20.8%      | 70.5% | 41.7%       | 30.9%    | 4.6x       | 1.32    | 2.2x  |      |
| IBM (NYSE: IBM)                         | \$286.70        | 31.8%       | \$262,250.0   | \$318,620.0   | 5.1x                   | 25.8x   | 49.5x  | NM         | 57.0% | 19.6%       | 12.1%    | 4.8x       | 0.65    | 2.2x  |      |
| DigitalOcean Holding, Inc. (NYSE:DOCN)  | \$28.26         | (17.1%)     | \$2,570.0     | \$3,950.0     | 4.9x                   | 15.1x   | 25.0x  | 345.0%     | 60.3% | 32.4%       | 16.6%    | 7.2x       | 1.78    | NM    |      |
| Snowflake Inc. (NYSE: SNOW)             | \$222.61        | 44.2%       | \$74,280.0    | \$73,050.0    | 19.0x                  | NM      | NM     | 2.0%       | 66.4% | (31.2%)     | (36.2%)  | (2.1x)     | 1.21    | 13.2x |      |
| Palantir Technonlgies Inc. (PLTR)       | \$130.74        | 72.9%       | \$308,530.0   | \$303,350.0   | 97.4x                  | 696.8x  | 568.4x | 111.1%     | 80.0% | 14.0%       | 13.0%    | 0.6x       | 2.64    | 4.1x  |      |
|                                         |                 |             |               |               | Mean                   | 18.1x   | 103.9x | 98.9x      | 80.5% | 61.2%       | 23.9%    | 16.3%      | 2.0x    | 1.3x  | 1.2x |
|                                         |                 |             |               |               | Median                 | 5.8x    | 21.0x  | 37.5x      | 30.3% | 60.3%       | 20.8%    | 16.6%      | 1.3x    | 1.3x  | 1.2x |
| Nebius Group N.V. (NasdaqGS: NBIS)      | \$51.97         | 87.2%       | \$12,436.9    | \$11,191.5    | 69.3x                  | (30.3x) | NM     | (450.8%)   | 41.8% | (229.1%)    | (303.7%) | (.5x)      | 1.02    | NM    |      |

# DCF Analysis – RM Case

| (\$ in thousands, besides per share data)                    | 2024A          | 2025E              | 2026E            | 2027E            | 2028E            | 2029E            | 2030E            | 2031E            | 2032E          | 2033E            | 2034E            |
|--------------------------------------------------------------|----------------|--------------------|------------------|------------------|------------------|------------------|------------------|------------------|----------------|------------------|------------------|
| <b>Top-Down Unlevered Free Cash Flow (UFCF) Calculations</b> |                |                    |                  |                  |                  |                  |                  |                  |                |                  |                  |
| Adj. EBITDA                                                  |                | 2.81               | 53.22            | 305.33           | 768.39           | 1,220.14         | 1,854.19         | 2,948.93         | 4,541.43       | 6,179.50         | 7,966.63         |
| Less: Depreciation & Deductible Amortization                 |                | (105.8)            | (646.6)          | (1,217.1)        | (1,804.4)        | (1,962.3)        | (2,509.3)        | (3,390.6)        | (4,043.3)      | (4,652.1)        | (5,281.3)        |
| EBIT                                                         |                | (\$103.0)          | (\$593.4)        | (\$911.8)        | (\$1,036.0)      | (\$742.1)        | (\$655.1)        | (\$441.7)        | \$498.2        | \$1,527.4        | \$2,685.4        |
| Taxes                                                        |                | 18.5               | 106.8            | 164.1            | 186.5            | 133.6            | 117.9            | 79.5             | (89.7)         | (274.9)          | (483.4)          |
| <b>Tax-Effectuated Unlevered Taxable Income</b>              |                | <b>(\$84.5)</b>    | <b>(\$486.5)</b> | <b>(\$747.7)</b> | <b>(\$849.5)</b> | <b>(\$608.5)</b> | <b>(\$537.2)</b> | <b>(\$362.2)</b> | <b>\$408.5</b> | <b>\$1,252.5</b> | <b>\$2,202.0</b> |
| Plus: Depreciation & Deductible Amortization                 |                | 105.8              | 646.6            | 1,217.1          | 1,804.4          | 1,962.3          | 2,509.3          | 3,390.6          | 4,043.3        | 4,652.1          | 5,281.3          |
| Plus: Working Capital Surplus / (Deficiency)                 |                | 60.9               | 443.0            | 512.8            | 517.0            | 559.3            | 642.8            | 872.8            | (283.5)        | 388.8            | 239.3            |
| Less: Capital Expenditures                                   |                | (1,586.3)          | (528.5)          | (1,057.1)        | (1,585.6)        | (1,962.2)        | (2,408.2)        | (2,925.9)        | (3,950.0)      | (4,740.0)        | (5,451.0)        |
| <b>Unlevered Free Cash Flow</b>                              |                | <b>(\$1,504.0)</b> | <b>\$74.4</b>    | <b>(\$74.9)</b>  | <b>(\$113.7)</b> | <b>(\$49.2)</b>  | <b>\$206.8</b>   | <b>\$975.3</b>   | <b>\$218.3</b> | <b>\$1,553.4</b> | <b>\$2,271.6</b> |
| Discount Periods - Mid Year Convention                       | -0.5           | 0.5                | 1.5              | 2.5              | 3.5              | 4.5              | 5.5              | 6.5              | 7.5            | 8.5              | 9.5              |
| Discount Rate - WACC                                         | 10.0%          |                    |                  |                  |                  |                  |                  |                  |                |                  |                  |
| <b>Present Value of ULFCF</b>                                |                | <b>(\$1,434.0)</b> | <b>\$64.5</b>    | <b>(\$59.0)</b>  | <b>(\$81.5)</b>  | <b>(\$32.0)</b>  | <b>\$122.4</b>   | <b>\$524.9</b>   | <b>\$106.8</b> | <b>\$691.0</b>   | <b>\$918.6</b>   |
| <b>Sum of Present Value of ULFCF</b>                         | <b>\$821.7</b> |                    |                  |                  |                  |                  |                  |                  |                |                  |                  |
| <b>NPV</b>                                                   | <b>\$783.4</b> |                    |                  |                  |                  |                  |                  |                  |                |                  |                  |

## Weighted Average Cost of Capital - WACC

|                                  |                    |
|----------------------------------|--------------------|
| Stock Price                      | \$51.97            |
| Fully Diluted Shares Outstanding | 239.31             |
| <b>Equity Value</b>              | <b>\$12,436.88</b> |
| Current Debt                     | 202                |
| Cash                             | (1,447)            |
| Minority Interest                | 0.0                |
| <b>Enterprise Value</b>          | <b>\$11,191.48</b> |
| Equity                           | \$12,436.88        |
| Debt                             | 201.60             |
| <b>Total Capitalization</b>      | <b>\$12,638.48</b> |

## Capital Asset Pricing Model - CAPM

|                                 |              |
|---------------------------------|--------------|
| 30 year T-Bill / Risk Free Rate | 4.89%        |
| Equity Risk Premium             | 5.11%        |
| Beta                            | 1.02         |
| <b>Cost of Equity</b>           | <b>10.1%</b> |
| Tax Rate                        | 18.0%        |
| Cost of Debt                    | 6.0%         |
| Cost of Preferred Stock         | 0.0%         |
| <b>WACC</b>                     | <b>10.0%</b> |
| <b>WACC Driver</b>              | <b>10.0%</b> |

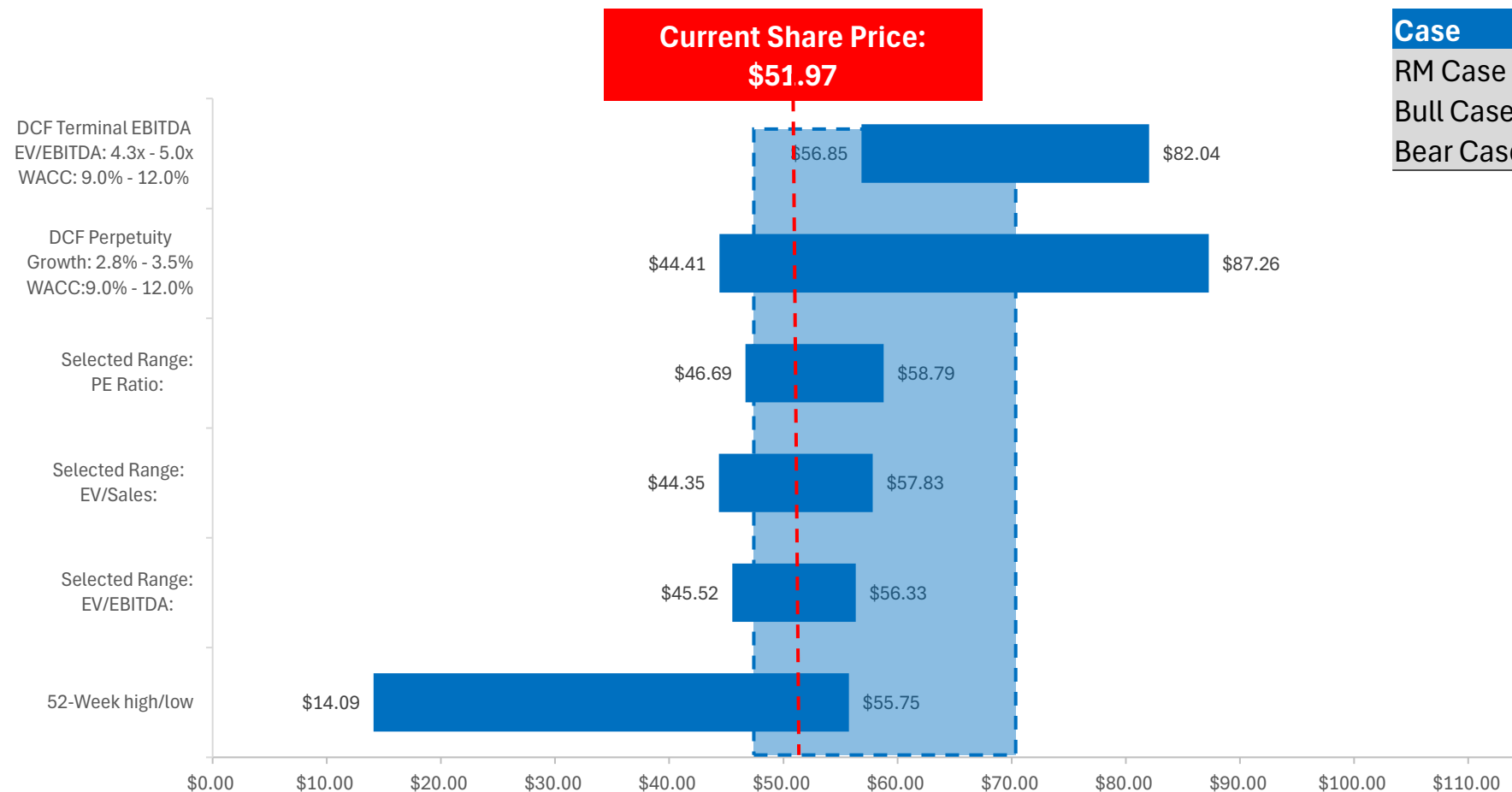
## Sensitivity Analysis Terminal EBITDA Multiple

|         | 4.3x    | 4.5x    | 4.8x    | 5.0x    |
|---------|---------|---------|---------|---------|
| \$69.21 |         |         |         |         |
| 9.0%    | \$71.03 | \$74.70 | \$78.37 | \$82.04 |
| 9.5%    | \$68.38 | \$71.89 | \$75.41 | \$78.92 |
| 10.0%   | \$65.85 | \$69.21 | \$72.58 | \$75.94 |
| 11.00%  | \$61.13 | \$64.22 | \$67.31 | \$70.40 |
| 12.00%  | \$56.85 | \$59.68 | \$62.52 | \$65.35 |

## Sensitivity Analysis Perpetuity Method

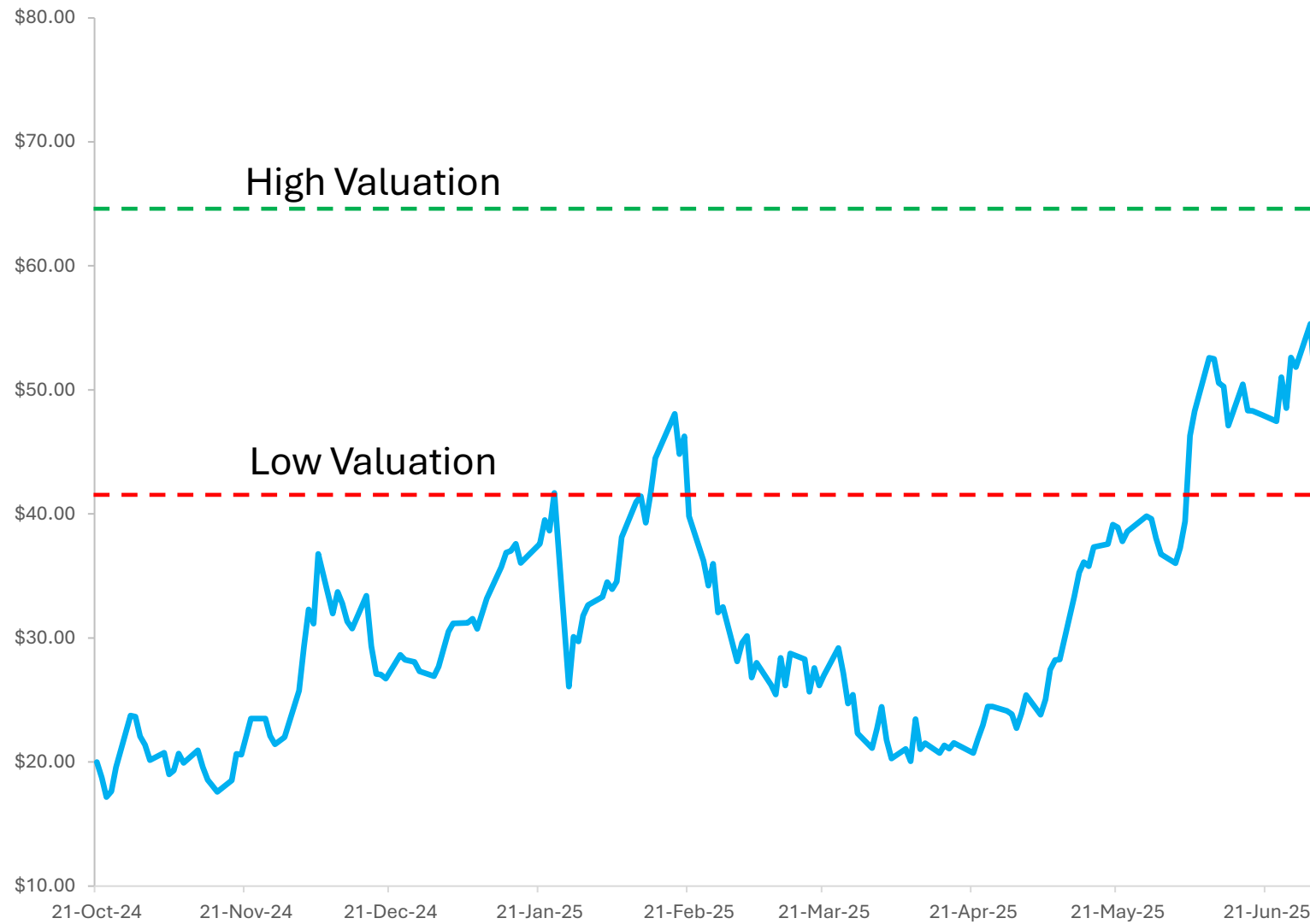
|         | 2.8%    | 3.0%    | 3.3%    | 3.5%    |
|---------|---------|---------|---------|---------|
| \$64.96 |         |         |         |         |
| 9.0%    | \$77.30 | \$80.34 | \$83.65 | \$87.26 |
| 9.5%    | \$69.49 | \$71.99 | \$74.69 | \$77.62 |
| 10.0%   | \$62.88 | \$64.96 | \$67.19 | \$69.60 |
| 11.0%   | \$52.34 | \$53.83 | \$55.40 | \$57.08 |
| 12.0%   | \$44.41 | \$45.49 | \$46.64 | \$47.86 |

# Football Field Analysis – RM Case



| Case      | Price Target |
|-----------|--------------|
| RM Case   | \$60.00      |
| Bull Case | \$70.00      |
| Bear Case | \$49.00      |

# High/Low Range Stock Chart – RM Case



| Valuation Method | Low     | High    |
|------------------|---------|---------|
| EBITDA Multiple  | \$45.52 | \$56.33 |
| Sales Multiple   | \$44.35 | \$57.83 |
| PE Multiple      | \$46.69 | \$58.79 |
| Median           | \$45.52 | \$57.83 |

| Valuation Method | Low    | High   |
|------------------|--------|--------|
| Terminal EBITDA  | \$56.8 | \$82.0 |
| Perpetuity       | \$44.4 | \$87.3 |
| Median           | \$50.6 | \$84.6 |

## 4) Investment Thesis

# Investment Thesis – RM Case

Rating: Buy

Stock Price as of 7/21/2025 : \$51.97

Target Price : \$60.00 (~15.5% upside)

Market Cap : \$12.4 Bn

Enterprise Value: \$11.1 Bn

52-Week H/L: \$14.09-\$55.75

## 1 Company Profile

1. NBIS is a global technology company specializing in AI infrastructure.
2. Multiple segments covering large amount of AI services.
3. HQ in Amsterdam with R&D hubs across Europe, North America, and Israel.

## 2 Company Story | *Early Growth*

1. NBIS is still realizing losses, but rapid top-line growth is expected to counter this.
2. Recently divested from Russian operations, supplying cash for expansion and scaling.
3. Little debt = no growth dilution.

## 3 Industry Environment

1. AI industry is rapidly increasing at a CAGR of 25-30%.
2. Barrier-to-entry is high due to high capital expenditure requirements and steep hardware costs.
3. Global market expected to reach \$223B by 2030.

## 4 Future expectations

1. Revenue 2025E → \$500-\$700 million
2. ARR 2025E → \$750-1 billion
3. Plans to open 4-6 additional data centers between 2025-2027
4. CapEX 2025 → ~\$2 billion
5. Adjusted EBITDA breakeven in late 2025

## 5 Valuations

1. We believe Nebius group has ample room for growth to due AI being in an early stage of development.
2. Due to its segmented business structure, NBIS provides various AI services which diversifies its potential.

## 6 Investment Thesis | *Bullish*

1. As NBIS invests capital for more GPU clusters, data centers, hardware cooling, etc., they will capture a higher market at a lower cost.
2. NBIS has a low debt structure → High ARR will allow for high profitability.
3. AI is being utilized all over the world everyday.